

I have been to its stores a few times over the years, and it has been a pleasant experience.

As I write this, BBY has a quoted stock price of \$36 per share and a market cap of \$10.7 billion. We know BBY is being offered on sale for \$10.7 billion. What is BBY's intrinsic value?

Let's take a look at a few BBY statistics on Yahoo Finance. BBY had \$505 million in net income for the year ended February 28, 2005. Capital expenditures for the year were \$191 million and depreciation was \$99 million. The "back of the envelope" net free cash flow was about \$413 million.

It looks like BBY is growing revenues 15 percent to 20 percent and net income by 25 percent to 30 percent a year. It also looks like it stepped up capital expenditure (capex) spending in 2005. Let's assume that free cash flow grows by 30 percent a year for the next three years; then grows 15 percent a year for the following three years, and then 10 percent a year thereafter. Further, let's assume that the business is sold at the end of that year for 10 to 15 times free cash flow plus any excess capital in the business. BBY has about \$850 million in cash in the business presently (see [Table 7.3](#)).

So, the intrinsic value of BBY is about \$19 billion, and it can be bought at \$10.7 billion. I'd say that's a pretty good deal, but look at my assumptions—they appear to be pretty aggressive. I'm assuming no hiccups in its execution, no change in consumer behavior, and the ability to grow revenues and cash flows pretty dramatically over the years. What if we made some more conservative assumptions? We can run the numbers with any assumptions. The company has not yet released numbers for the year ended February 28, 2006, but we do have nine months of data (through November 2005). We can compare November 2005 data to November 2004 data. Nine month revenues increased from \$3.7 billion to \$4.1 billion from November 2004 to November 2005. And earnings increased from \$324 million to \$375 million. It looks like the top line is growing at only 10 percent annually and the bottom line by about 15 percent to 16 percent. If we assume that the bottom line growth rate declines by 1 percent a year—